Morgan Stanley | RESEARCH

UPDATE

July 29, 2026 05:05 PM GMT

Airbus SE | Europe

1H26 Results - Strong Print Against a High Bar

AlphaSignals Earnings Reaction

Strengthens our thesis	Meaningful upside	Modest revision higher
Impact to our thesis	Financial results versus consensus	Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

Key Takeaways

- Strong H1 - adj. EBIT 10% beat (€2.7bn, +24% yoy), and FCF -€1.2bn (vs -€1.5bn for cons). Revenues broadly in-line at €33.2bn (+12% yoy; +1% vs cons).
- Q2 adj. EBIT 11% beat (adj. EBIT €2.4bn, +54% yoy) with Commercial margin 12.3%. FCF also ahead at +€1.3bn (vs +€985m for cons). Revenues in-line.
- 2026 guidance unchanged.
- Our View: strong print against elevated expectations, demonstrating the financial potential of the group when executing. We think the market rewards the beat.

Our View: A strong print, with a 10% beat on H1 adj. EBIT at €2.7bn (8.2% margin vs 7.6% for cons) and better FCF at -€1.2bn (vs -€1.5bn for cons). On adj. EBIT, performance was led by a marked improvement in Defence & Space (+46% vs cons) as well as higher volumes, mix and operating leverage in Commercial (+5% vs cons). On FCF, the strong 22% beat reflects higher profitability. **Overall, a strong print which comes in ahead of already elevated expectations after strong Q2 deliveries. Not only does it derisk FY guidance, but we think it also demonstrates the strong financial potential of the group when executing to plan. We think the market rewards the beat tomorrow.**

Airbus Commercial Driven by Volume, Services and Mix: Sales of €23.9bn are +15% yoy (+1% vs cons) reflecting higher deliveries and increased services, despite an FX headwind. Mix and operating leverage, partially offset by a less favorable hedge rate, drive better adj. EBIT performance at €2.0bn (+16% yoy) or 8.3% margin (8.0% for cons), which is +5% above consensus. Q2 performance was exceptionally strong, with adj. EBIT of €1.9bn (12.3% margin), 5% above consensus which already reflected a high bar.

Defence & Space Big Beat: sales +9% yoy to €6.3bn (+3% vs cons), driven by higher volumes across all business units. Adj. EBIT is the standout at €487m, up +84% yoy and a whopping 46% above consensus (7.7% margin vs 5.4% for cons). This was driven by favourable cost phasing, improved profitability and higher volumes.

Helicopters In-Line: revenues broadly stable at €3.7bn (-2% vs cons), reflecting a less favorable delivery mix. Adj. EBIT of €240m is -4% yoy (-1% vs cons), with the margin at 6.5% (in-line with cons), reflecting higher R&D expenses.

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Airbus SE (AIR.PA, AIR FP)

Aerospace & Defence | France

Stock Rating	**Overweight**
Industry View	**Attractive**
Price target	**€227.00**
Shr price, close (Jul 29, 2026)	€209.90
52-Week Range	€221.30-157.42
Mkt cap, curr (mn)	€165,516
Net debt (12/26e) (mn)*	€(13,705)
EV, curr (mn)*	€153,882

* = GAAP or approximated based on GAAP

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Exhibit 1: Airbus: 1H26 results

(EUR mn)	1H25 Actual	1H26 Actual	1H26 MSe	1H26 Cons	Diff. (%)	Beat/Miss
Sales	29,610	33,176	32,974	32,900	*0.8%*	◀▶
% Change	*2.7%*	*12.0%*	*11.4%*	*11.1%*		
Adjusted EBIT	2,204	2,727	2,577	2,487	*9.7%*	▲
EBIT margin (%)	*7.4%*	*8.2%*	*7.8%*	*7.6%*		
Adjusted Net Income	1,697	2,058	1,953	1,955*	*5.3%*	▲
Underlying EPS	**2.15**	**2.61**	**2.48**	**2.40**	***8.6%***	▲
FCF before customer financing	**-1,610**	**-1,166**	**-815**	**-1,500**	***22.3%***	▲
Net Cash	6,953	8,360	8,927	8,099*	*3.2%*	▲
Divisional Sales	**1H25 Actual**	**1H26 Actual**	**1H26 MSe**	**1H26 Cons**	**Diff. (%)**	**Beat/Miss**
Airbus	20,829	23,877	23,590	23,689	*0.8%*	◀▶
% Change	*-1.8%*	*14.6%*	*13.3%*	*13.7%*		
Helicopters	3,693	3,680	3,784	3,750	*-1.9%*	▼
% Change	*15.7%*	*-0.4%*	*2.5%*	*1.5%*		
Defence & Space	5,813	6,316	6,300	6,163	*2.5%*	▲
% Change	*16.6%*	*8.7%*	*8.4%*	*6.0%*		
Group Sales	**29,610**	**33,176**	**32,974**	**32,900**	*0.8%*	◀▶
% Change	*2.7%*	*12.0%*	*11.4%*	*11.1%*		
Divisional EBIT (Adjusted)	**1H25 Actual**	**1H26 Actual**	**1H26 MSe**	**1H26 Cons**	**Diff. (%)**	**Beat/Miss**
Airbus	1,714	1,987	1,972	1,894	*4.9%*	▲
EBIT margin (%)	*8.2%*	*8.3%*	*8.4%*	*8.0%*		
Helicopters	249	240	246	243	*-1.2%*	▼
EBIT margin (%)	*6.7%*	*6.5%*	*6.5%*	*6.5%*		
Defence & Space	265	487	334	334	*45.8%*	▲
EBIT margin (%)	*4.6%*	*7.7%*	*5.3%*	*5.4%*		
Group Adjusted EBIT	**2,204**	**2,727**	**2,577**	**2,487**	*9.7%*	▲
EBIT margin (%)	*7.4%*	*8.2%*	*7.8%*	*7.6%*		

Source: Company data, Morgan Stanley Research estimates (e), Company consensus (* Visible Alpha)

Exhibit 2: Airbus: 2Q26 results

(EUR mn)	2Q25 Actual	2Q26 Actual	2Q26 MSe	2Q26 Cons	Diff. (%)	Beat/Miss
Sales	16,068	20,525	20,323	20,249	*1.4%*	▲
% Change	*0.5%*	*27.7%*	*26.5%*	*26.0%*		
Adjusted EBIT	1,580	2,427	2,277	2,187	*11.0%*	▲
EBIT margin (%)	*9.8%*	*11.8%*	*11.2%*	*10.8%*		
Adjusted Net Income	1,173	1,795	1,690	1,701*	*5.5%*	▲
Underlying EPS	**1.48**	**2.28**	**2.15**	**2.07**	***9.9%***	▲
FCF before customer financing	**-1,300**	**1,319**	**1,670**	**985**	***33.9%***	▲
Net Cash	6,953	8,360	8,927	8,099*	*3.2%*	▲
Divisional Sales	**2Q25 Actual**	**2Q26 Actual**	**2Q26 MSe**	**2Q26 Cons**	**Diff. (%)**	**Beat/Miss**
Airbus	11,308	15,441	15,154	15,253	*1.2%*	▲
% Change	*-6.1%*	*36.5%*	*34.0%*	*34.9%*		
Helicopters	2,093	2,076	2,180	2,146	*-3.3%*	▼
% Change	*21.0%*	*-0.8%*	*4.1%*	*2.5%*		
Defence & Space	3,157	3,484	3,468	3,331	*4.6%*	▲
% Change	*22.1%*	*10.4%*	*9.8%*	*5.5%*		
Group Sales	**16,068**	**20,525**	**20,323**	**20,249**	*1.4%*	▲
% Change	*0.5%*	*27.7%*	*26.5%*	*26.0%*		
Divisional EBIT (Adjusted)	**2Q25 Actual**	**2Q26 Actual**	**2Q26 MSe**	**2Q26 Cons**	**Diff. (%)**	**Beat/Miss**
Airbus	1,220	1,906	1,892	1,813	*5.1%*	▲
EBIT margin (%)	*10.8%*	*12.3%*	*12.5%*	*11.9%*		
Helicopters	171	175	181	178	*-1.7%*	▼
EBIT margin (%)	*8.2%*	*8.4%*	*8.3%*	*8.3%*		
Defence & Space	188	357	204	204	*75.0%*	▲
EBIT margin (%)	*6.0%*	*10.2%*	*5.9%*	*6.1%*		
Group Adjusted EBIT	**1,580**	**2,427**	**2,277**	**2,187**	*11.0%*	▲
EBIT margin (%)	*9.8%*	*11.8%*	*11.2%*	*10.8%*		

Source: Company data, Morgan Stanley Research estimates (e), Company consensus (* Visible Alpha)

Valuation Methodology and Risks

Airbus SE (AIR.PA)

Average of SOTP (€219) and DCF (€234) (WACC 7.25%, long-term growth 3%). Our SOTP applies multiples of 15.5x EV/EBIT, 19x P/E for Airbus Commercial, a ~10% discount to peers given engine supply risk; 14x EV/EBIT, 18x P/E for Helicopters, in line with peers; and 13x EV/EBIT, 16x P/E for Defence & Space, a 20% discount to peers to reflect lower margins, restructuring, and Space consolidation risk. Implied group multiples are 15x EV/EBIT and 19x P/E

Risks to Upside

- Supply chain recovers faster than expected, allowing commercial deliveries to meet or exceed guidance / consensus.
- A320neo gross margins continue to expand due to mix, pricing power and production efficiencies.
- Share buyback initiated.

Risks to Downside

- Supply chain fails to recover sufficiently to support production ramp-up plans.
- Air traffic demand weakens.
- Defence restructuring fails to achieve desired aims.

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(as of June 30, 2026)

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Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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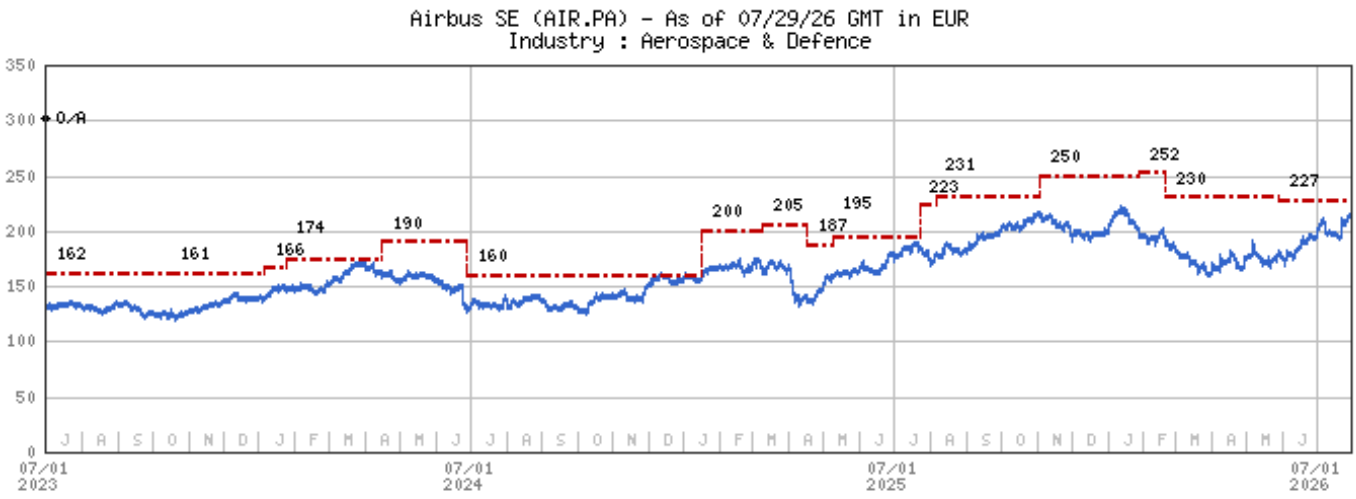
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Stock Rating History: 7/1/21 : O/I; 9/30/22 : NA/NR; 4/13/23 : NA/NR; 6/13/23 : O/A

Price Target History: 5/28/21 : 117; 7/19/21 : 120; 1/19/22 : 135; 2/17/22 : 137; 6/27/22 : 135; 9/30/22 : NA; 6/13/23 : 162; 10/16/23 : 161; 1/5/24 : 166; 1/24/24 : 174; 4/16/24 : 190; 6/28/24 : 160; 1/16/25 : 200; 3/10/25 : 205; 4/17/25 : 187; 5/9/25 : 195; 7/23/25 : 223; 8/6/25 : 231; 11/4/25 : 250; 1/28/26 : 252; 2/20/26 : 230; 5/28/26 : 227

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)

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INDUSTRY COVERAGE: Aerospace & Defence

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/29/2026)
Kristine T Liwag		
Elbit Systems Ltd (ESLT.O)	E (12/11/2025)	US$818.59
Marie-Ange Riggio		
Kongsberg Gruppen ASA (KOG.OL)	U (07/07/2026)	NKr 293.50
Melrose Industries PLC (MRON.L)	E (09/06/2024)	481p
Rheinmetall AG (RHMG.DE)	O (07/03/2024)	€1,153.40
Saab AB (SAABb.ST)	O (07/07/2026)	SKr 599.60
Ross Law, CFA		
Airbus SE (AIR.PA)	O (06/13/2023)	€209.90
BAE Systems PLC (BAES.L)	O (06/13/2023)	2,020p
CSG N.V. (CSG.AS)	O (03/05/2026)	€16.62
Dassault Aviation SA (AM.PA)	E (06/13/2023)	€303.00
Hensoldt AG (HAGG.DE)	E (01/28/2026)	€84.62
Leonardo SpA (LDOF.MI)	O (01/16/2025)	€53.73
MTU Aero Engines AG (MTXGn.DE)	E (06/13/2023)	€356.60
Rolls-Royce Holdings PLC (RR.L)	O (11/08/2023)	1,380p
Safran SA (SAF.PA)	E (01/16/2025)	€339.80
Thales SA (TCFP.PA)	E (01/24/2024)	€245.40

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* Historical prices are not split adjusted.

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